

Variable and Universal Life

Variable life policies allow you some choice in what your cash value will be invested in, though you can usually only put it in investments your insurance company manages. With variable life, the amount of your life insurance coverage (and the required premiums) fluctuates depending on how well the investment portion is doing.

Universal life insurance differs from variable life in one important aspect. In universal life policies, the pure insurance part of the policy is kept separate from the investment part of the policy. The insurance premium costs are paid out of the proceeds of the investment part of the policy. Universal life offers more flexibility in the death benefit and the annual premium. In years when the investment portion does well, you may choose to put more of the money into building up the cash value. In years when the investment doesn't do as well, you may elect to reduce premiums or let the entire premium for the year be deducted from the investment account. You pay for this flexibility in higher administrative fees.

Which Type of Insurance Is Best?

Many financial experts recommend that you keep your life insurance and your investments separate. If you need life insurance, buy term life. If you want to invest money, do it yourself. If you're convinced that you want a whole life policy, consider consulting with a fee-only insurance advisor who, for a fixed fee, will research the various policies available to you and recommend the one that best suits your needs. Make sure the advisor isn't affiliated with any particular insurance company and receives no commissions so you can be sure you're getting objective advice.